

FIDELITY NATIONAL INFORMATION SERVICES, INC.

(NYSE: FIS)

A Misunderstood Core-Banking Franchise Midway Through Margin Repair

BUY — \$45.00 Target

Equity Research Note · Technology — Financial Technology Infrastructure · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$45.00	\$32.44	+38.7%	Medium

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$16.7 bn (516 mn sh × \$32.44)	Leverage	Deleveraging steadily since the separation
52-week range	~\$32.10 – \$69.14	Capital return	Buybacks + growing dividend
Segments	Banking Solutions; Capital Market Solutions	Product cycle	Real-time payments, digital banking, fraud/risk modules
Revenue character	Heavy recurring, contract-based	Next catalyst	Continued margin expansion + capital returns
Contract tenor	Core processing 5–7 years with termination fees	Implied upside	+39% to \$45.00 fair value

1 Investment Thesis

FIS is a misunderstood asset. The market still treats it as the company that struggled through the Worldpay separation and the merchant-acquiring hangover; the reality in 2026 is a pure-play banking and capital-markets technology provider with recurring revenue, high switching costs, and margins that have been climbing quarter after quarter. The divestiture noise is gone. What remains is a core banking technology franchise that banks renew because they cannot easily leave.

Our judgment: the earnings trajectory from here is driven less by revenue acceleration than by the margin repair that is already underway. FIS's cost program and the mix shift toward higher-margin banking solutions create operating leverage that the market is discounting because it remembers the old story. We stress the margin targets against actual quarterly delivery, and the trajectory has been consistent enough to underwrite a base case with further expansion.

At \$32.44, the valuation prices FIS like a low-growth legacy processor. Our probability-weighted fair value is \$45.00, a 39% expected return, earned mostly through margin normalization and steady recurring revenue growth rather than a multiple re-rating to growth-tech levels. The bear case — bank IT budget cuts and stalled margin programs — is genuinely adverse and sits well below today's price.

The balance-sheet repair deserves emphasis. Deleveraging since the separation has been steady, and the interest burden that once consumed a meaningful share of operating income is declining. That matters for equity holders twice: lower risk in the bear case and more free cash flow available for buybacks in the base case. We modeled the debt paydown schedule against stated targets and found it credible given current cash generation.

Why the market will care (eventually)

- **Margin repair is already in the numbers, not in the price.** The cost structure inherited from the conglomerate years had real fat; ongoing efficiency programs have been converting it into operating leverage. We expect two phases: the current cost takeout, largely in hand, and a second phase of mix-driven expansion as higher-margin software and payments modules outgrow legacy processing. The base case assumes only partial realization of phase two.
- **A quiet product cycle.** Real-time payments adoption in the US is still early, and FIS's existing bank relationships make it a natural infrastructure provider. Digital banking, fraud and risk tools, and treasury modules sold into the installed base carry incremental margins well above the corporate average — the mechanical source of the expansion we underwrite.
- **Capital allocation as a second engine.** With the separation complete and leverage reduced, free cash flow conversion should support consistent buybacks and a growing dividend, adding a shareholder-return kicker to the earnings story.

2 Business Overview — What Fidelity National Information Services Is Doing

FIS provides technology solutions to financial institutions and businesses worldwide. Its core segments are Banking Solutions (core processing, digital banking, payments, and risk tools for banks and credit unions) and Capital Market Solutions (trading, treasury, and risk technology for buy- and sell-side institutions). The company completed the separation of its merchant solutions business (Worldpay), leaving a more focused, higher-margin software and processing business with a heavy weight of recurring, contract-based revenue.

The economics are those of an embedded infrastructure provider: multi-year contracts, mission-critical software that is expensive to rip out, and incremental margins on additional modules sold into the installed base. Banks do not switch core processors casually, which gives FIS pricing power and revenue visibility well beyond a typical technology cycle.

Capital Market Solutions serves a different but equally sticky customer: trading desks, asset managers, and corporate treasuries running FIS software for order management, risk, and post-trade processing. This segment is more sensitive to market activity levels but carries high margins and long relationships.

What the company is doing now

- **Contract structure is the moat's legal form.** Core processing agreements typically run five to seven years with termination fees that make switching economically punitive — on top of operational stickiness, since the core processor touches payments, compliance, reporting, and customer channels.
- **The installed base is the distribution channel.** New modules (real-time payments, digital banking, fraud tools) sell into thousands of existing bank relationships at incremental margins well above the corporate average.
- **Post-separation focus.** With Worldpay gone, management attention and capital are concentrated on the banking and capital-markets franchises rather than a conglomerate portfolio.

3 Financial Analysis

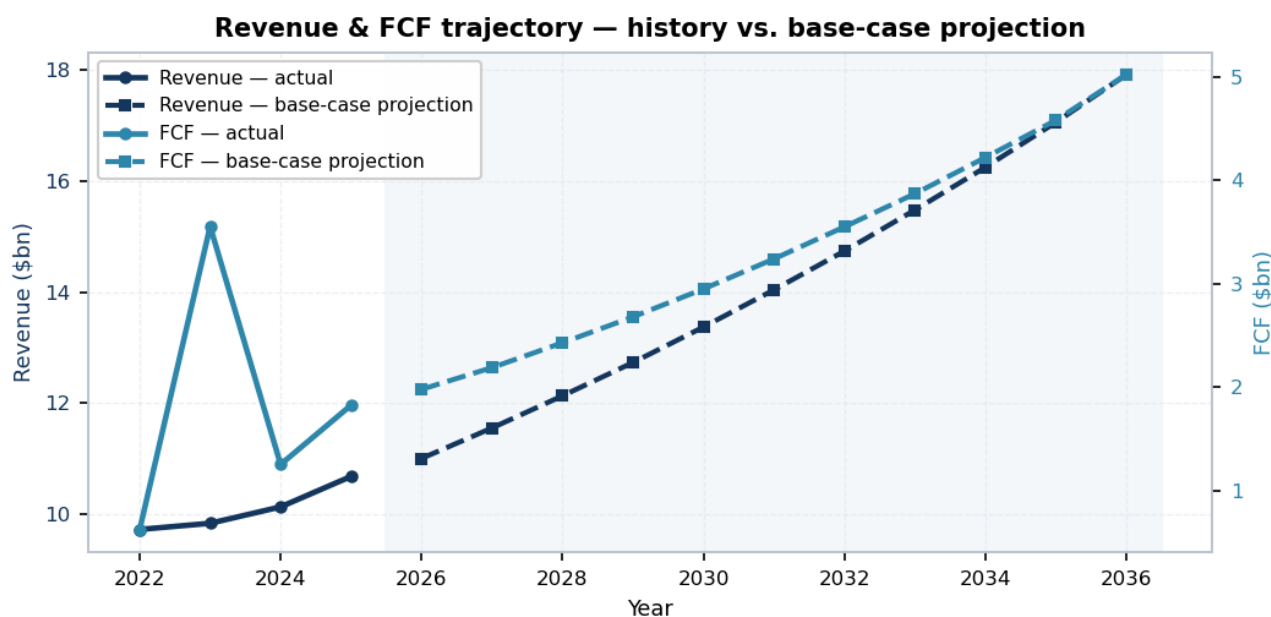
\$ bn	2022	2023	2024	2025 (TTM)
Total revenue	9.72	9.83	10.13	10.68
Free cash flow	0.63	3.56	1.25	1.83

Sources: company filings via Yahoo Finance. 2025 = trailing twelve months; FCF lumpy on separation effects.

Revenue has grown steadily from \$9.72 billion in 2022 to \$10.68 billion on a trailing basis in 2025 — modest top-line growth, exactly as a mature infrastructure franchise should show. The story is in the margins and the balance sheet: the cost programs are expanding operating leverage while deleveraging since the separation reduces the interest burden each year.

Free cash flow has been lumpy through the separation years (\$0.63 billion in 2022, \$3.56 billion in 2023, \$1.25 billion in 2024, \$1.83 billion trailing in 2025), reflecting restructuring and divestiture effects. The base case assumes conversion normalizes as one-time items fade, funding the buyback and dividend framework.

Revenue & cash-flow trajectory

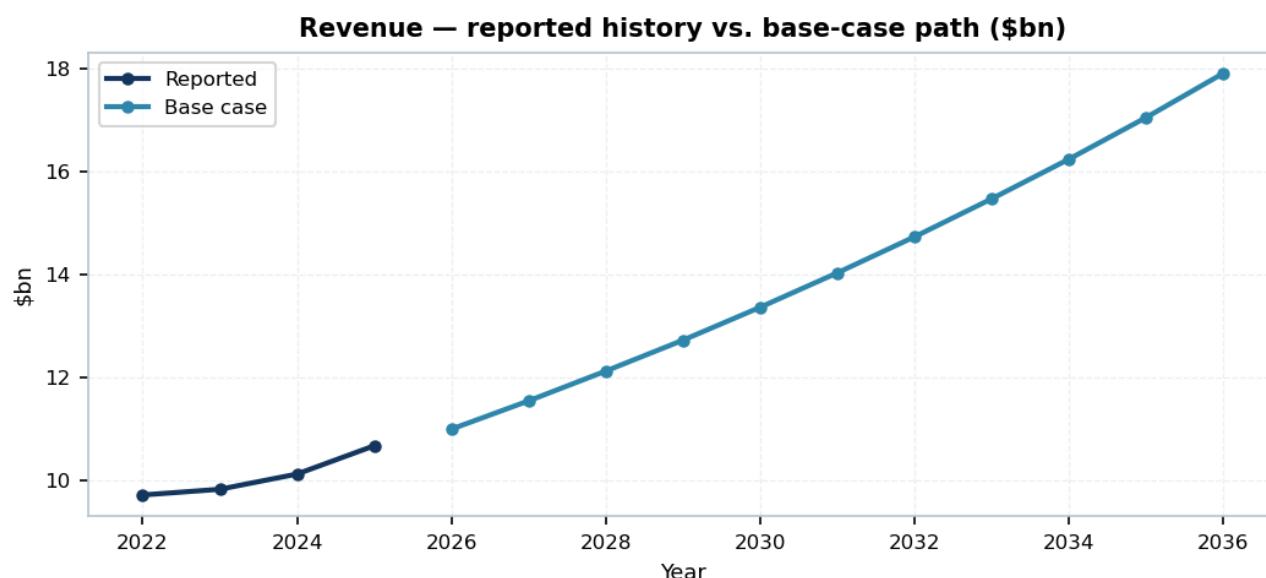


History: company filings via Yahoo Finance (2025 = TTM; FCF lumpy on separation effects). Projection: illustrative base-case path at ~5% revenue CAGR with FCF margins expanding toward the high-20s.

4 Moat & Competition

- **Switching costs are the moat.** Core processing contracts run five to seven years with punitive termination fees, and replacing a core processor is a multi-year project no bank undertakes lightly.
- **Operational embeddedness.** The core processor touches payments, compliance, reporting, and customer channels — dislodging it means rewiring the bank.
- **Installed-base distribution.** Thousands of existing bank relationships give new modules a ready-made, high-incremental-margin channel that de-novo competitors cannot replicate.
- **Capital-markets stickiness.** Trading, treasury, and post-trade systems are deeply embedded in client workflows with long relationships and high margins.

Revenue — reported history vs. base-case path (\$bn)



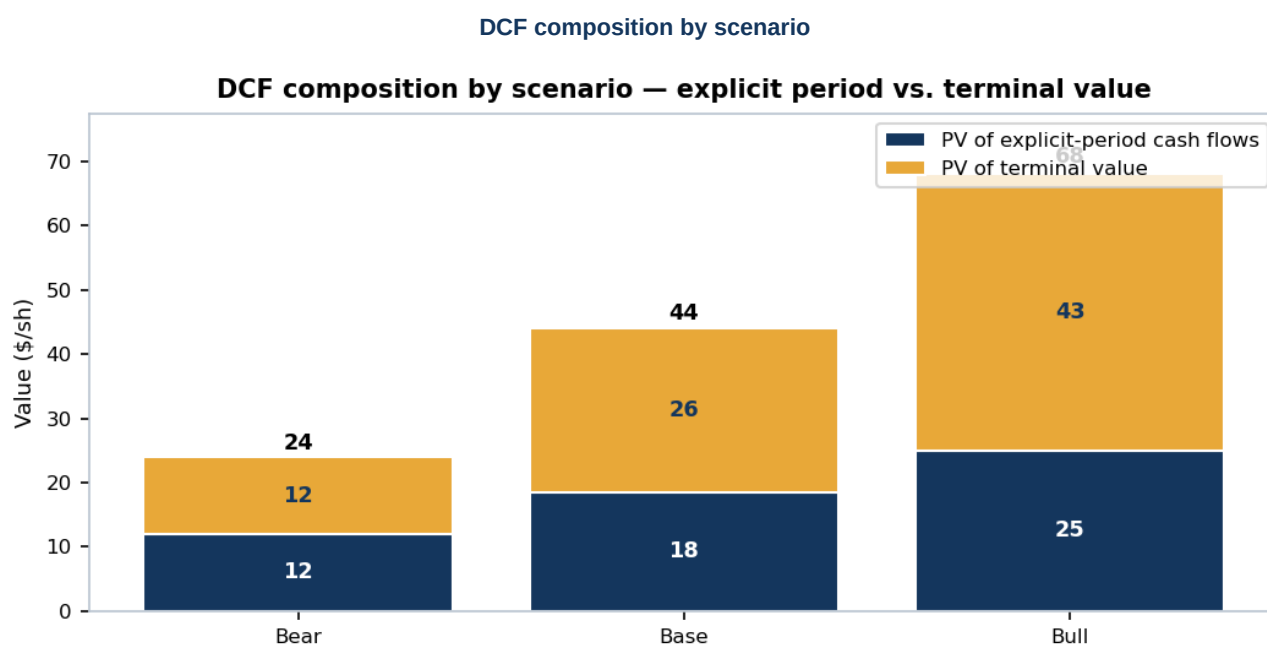
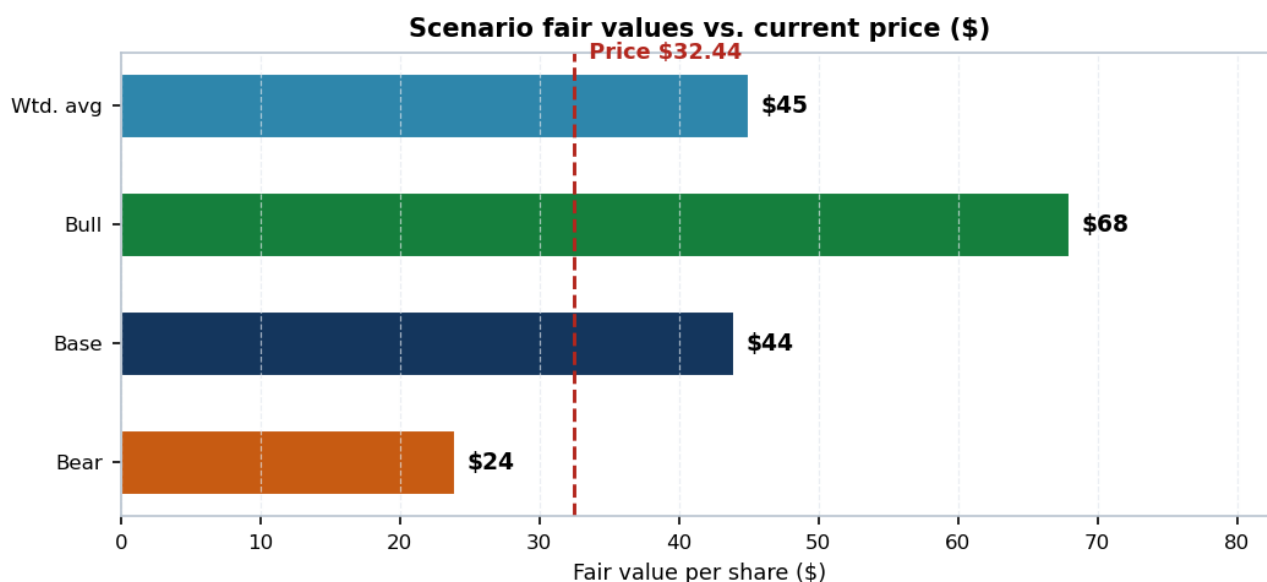
5 Valuation — 10-year scenario DCF, Fair Value \$45

We value FIS on a 10-year scenario DCF — weights bear 25% / base 50% / bull 25% — with scenario-specific discounts: bear 12.5% (base + 250bp), base 10.0% (standard tier for a stable, contract-heavy business with some cyclical exposure to bank IT spending), bull 8.5% (base – 150bp). Terminal growth is 1.5% / 2.0% / 2.0% on year-10 cash flows at normalized mid-cycle margins — never peak margins.

Key sensitivities: a one-point change in the organic growth rate moves fair value by roughly a tenth, while a 100bp change in the terminal margin assumption moves it by a similar order. We consider 10% the appropriate base discount and test the conclusion at higher rates in the bear case.

Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Bank IT budget cuts in a downturn; margin programs stall and partially reverse; multiple compression on the legacy-processor narrative	+2%	36%	12.5% / 1.5%	50%	\$24.00
Base	Mid-single-digit organic growth; continued margin expansion from cost programs and mix; stated capital-return framework executed	+5%	42%	10.0% / 2.0%	58%	\$44.00
Bull	Faster bank outsourcing and real-time-payments adoption; full margin realization; stronger buybacks at the compressed multiple	+8%	46%	8.5% / 2.0%	63%	\$68.00
Wtd. avg	Probability-weighted (25/50/25) → \$45.00 target					\$45.00

Scenario fair values vs. current price (\$)



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$/sh. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Bank consolidation.** Mergers among client banks can reduce the customer base or trigger contract renegotiations.
- **Cyclicality of bank IT budgets.** A banking downturn would slow new sales and module adoption.
- **Execution on margin programs.** The expansion story requires continued cost discipline; slippage would compress the expected return.
- **Competition.** Cloud-native core providers and large IT services firms compete for the same bank wallets.
- **Regulatory.** Changes in payments regulation or data rules could raise compliance costs or alter pricing power.
- **Large-deal risk.** A return to transformative M&A could destroy shareholder value and re-lever the balance sheet.

What would change our mind

Downgrade to HOLD if organic revenue growth turns negative for two consecutive quarters (demand deterioration beyond cycle noise), or if adjusted EBITDA margin declines year over year despite the cost programs (breaking the margin-repair thesis). Client retention falling materially below historical levels, or free cash flow conversion deteriorating structurally, would each independently force a re-underwrite.

7 Methodology

We value companies on a multi-year scenario discounted-cash-flow framework. Each note builds bear, base, and bull scenarios with scenario-specific discount rates and terminal growth assumptions, probability-weighted 25% / 50% / 25% unless the note states otherwise.

Discount rates reflect the equity risk of the business: roughly 9% for stable franchises, 10% for standard operating companies, and 12% or higher for levered, cyclical, or development-stage businesses. The bear case adds 250 basis points to the base discount rate; the bull case subtracts 150 basis points. International businesses carry an explicit country-risk premium where the note's framework requires it.

Terminal growth is set at or below long-run nominal GDP growth, applied to normalized mid-cycle margins — never peak margins. Project and segment economics are modeled on haircut assumptions, not on management guidance. Share counts are fully diluted, and minority interests are priced through the forecast every year.

We cross-check DCF fair values against trading multiples, reverse-DCF implied growth, and sum-of-the-parts where the business has separable assets. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine the volatility of the business model, the balance sheet, and the valuation. A High risk rating is not a veto on a BUY — it is the reason the upside exists — but it sizes the position.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.